Mock Exam 2026 MARKING SCHEME Paper 1 XIC BUSINESS STUDIES

Question	Answer	Marks	Guidance
1(a)	**Define 'business partnership'.** Award 2 marks for a full definition. Award 1 mark for a partial definition. • Two (or more) people agree to (jointly) own the business [2] • A business formed by two (or more) people who will usually share responsibility for the day to day running of the business [2] • An unincorporated business that has <u>more than</u> one owner [2] Partial definition e.g. • business run by two or more people [1]	**2**	For two marks need the idea of owned/formed and it involves at least two people.
1(b)	**Identify <u>two</u> ways a government can support business start-ups.** Award 1 mark for each way (max 2). Points might include: • Grants/subsidies • (Low interest) loans • Low-cost/rent-free premises • Provide training • Tax relief/lower tax/tax holiday • Advice/help with research • Help promote/advertise the business • Provide mentors Other appropriate responses should be credited.	**2**	Only award the first two responses given.

Question	Answer	Marks	Guidance
1(c)	**Outline <u>two</u> ways an economic boom might affect Brendan's business**. Award 1 mark for each relevant way (max 2). Award 1 mark for each relevant reference to this business (max 2). Points might include: • High level of demand/sales/revenue [k] for flowers [app] • May be difficult to find employees [k] for the shop [app] • He can increase his prices [k] which will increase added value [app] • Higher costs / wages might increase [k] so may need more government support [app] • High business confidence [k] for this entrepreneur [app] • Increased competition [k] • Harder to access materials [k] • Harder to find a location [k] Other appropriate responses should be credited.	**4**	To use words from the stem as application, the reference must be appropriate (i.e. make sense) in relation to the point being made. The following words are likely to be appropriate for this question: • (Successful) entrepreneur • Start-up/new business • Flower(s) or examples • Shop • Government support • Increase added value • (Business) partnership • <u>Pricing method</u> Other appropriate examples can be credited.

Question	Answer	Marks	Guidance
1(d)	**Explain <u>two</u> ways Brendan could increase added value for his business.** Award 1 mark for identification of each relevant way (max 2). Award 1 mark for each relevant reference to this business (max 2). Award 1 mark for each relevant explanation (max 2). Points might include: • Set high prices [k] which widens the gap between the cost and price [an] for the flowers [app] • Lower (input) costs [k] by buying cheaper materials [an] for this new business [app] • Branding/marketing/packaging [k] to give the idea of higher quality [an] • Unique design/products [k] making it more desirable than similar products [an] which could influence its pricing method [app] • Improve convenience [k] so products are immediately available [an] in the shop [app] • (Improve) quality/service [k] Other appropriate responses should be credited.	**6**	To use words from the stem as application, the reference must be appropriate (i.e. make sense) in relation to the point being made. The following words are likely to be appropriate for this question: • Start-up/new business • Flower(s) or examples • Shop • Government support • Brother • (Business) partnership • Pricing method • (Successful) entrepreneur Other appropriate examples can be credited. Analysis can be awarded for: • explaining the reason why price or costs may be higher/lower • how the way increases the added value. Some points can be awarded as [k] or [an] but only award once. Do not award the same point of analysis twice.

Question	Answer	Marks	Guidance
1(e)	**Explain <u>two</u> pricing methods a new business might use. Which is likely to be the best method to use? Justify your answer**. Award up to 2 marks for identification of relevant points. Award up to 2 marks for relevant development of points. Award up to 2 marks for a justified decision as to which is the best pricing method for a new business to use. Points might include: • Cost-plus [k] by adding a percentage onto the costs of production [an] it is easy to calculate [an] • Penetration pricing [k] setting a lower price <u>than competitors</u> [an] could attract customers [an] • Competitive pricing [k] setting a price <u>similar/just below</u> competitors [an] which may not cover costs [an] • Price skimming [k] allows the business to recover development costs quicker [an] may lead to low sales [an] • Promotional pricing [k] Other appropriate responses should be credited. Justification might include: Cost-plus pricing [k] is easy to calculate [an]. Price skimming [k] allows the business to recover development costs quickly [an]. Cost-plus pricing is the best method as the business will make profit on each item sold [eval] whereas with price skimming they may not attract customers to their new business [eval].	**6**	This is a general question so there are no marks for application. Candidates must name the method to access the knowledge marks. Analysis can be awarded for explaining the method or advantages/disadvantages Some points can be awarded as advantages or disadvantages of different methods but only award the same point once. To access evaluation must discuss two relevant methods. Accept but do not expect: • Dynamic pricing [k] • Psychological pricing [k]

Question	Answer	Marks	Guidance
2(a)	**Identify <u>one</u> way each of the following changes in country X's exchange rate might affect businesses which import materials.** Award 1 mark for each way (max 2). Points might include: • Depreciation: Imports dearer/more expensive • Appreciation: Imports cheaper	**2**	Only award the first two responses given. Do not award answers about the effect on exports.
2(b)	**Identify <u>two</u> reasons why consumer spending patterns might change**. Award 1 mark for each reason (max 2). Points might include changes in: • Price of product • Price of competitors products/increased competition • Incomes/wages/unemployment/business cycle or examples • Population size/structure/life stage of consumers • Taste/fashion/preferences • Advertising/promotion • Technology • Taxation • Interest rates • Exchange rates • Weather/season Other appropriate responses should be credited.	**2**	Only award the first two responses given.

Question	Answer	Marks	Guidance
2(c)	**Outline <u>two</u> reasons why maintaining quality is important for NSL**. Award 1 mark for each relevant reason (max 2). Award 1 mark for each relevant reference to this business (max 2). Points might include: • Develop strong brand image / generate good publicity / better reputation [k] for its food [app] • Keep customer loyalty/remain competitive [k] which may help as spending patterns change [app] • Can charge high/premium prices [k] which may help cover any effect of exchange rates [app] • Lower costs/less wastage [k] at the factory [app] • Fewer customer complaints/returns [k] • Attract new customers/increase sales [k] • To meet legal requirements [k] such as food standards [app] • It adds value [k] Other appropriate responses should be credited.	**4**	To use words from the stem as application, the reference must be appropriate (i.e. make sense) in relation to the point being made. The following words are likely to be appropriate for this question: • Food or related words such as ingredients, breakfast cereal, bread • Manufacture • (Consumer) spending patterns change • Factory • Exchange rates • (15% of raw) materials are imported • Lean production Other appropriate examples can be credited.

Question	Answer	Marks	Guidance
2(d)	**Explain <u>two</u> benefits to NSL of using lean production.** Award 1 mark for identification of each relevant benefit (max 2). Award 1 mark for each relevant reference to this business (max 2). Award 1 mark for each relevant explanation (max 2). Points might include: • Fewer mistakes/errors [k] so less rework / lower repair costs / may improve reputation [an] as maintaining quality is important [app] • Less inventory held [k] of imported materials [app] lowering storage costs/amount of working capital [an] • Cut out some processes [k] when making the food [app] which speeds up production / increase productivity [an] • Increase motivation [k] leading to lower absenteeism / reduce labour turnover [an] at the factory [app] • Less waste of time/ materials OR improved efficiency [k]quicker/increased output [an] • Lower (unit) costs [k] improving competitiveness [an] Other appropriate responses should be credited.	**6**	To use words from the stem as application, the reference must be appropriate (i.e. make sense) in relation to the point being made. The following words are likely to be appropriate for this question: • Food or related words such as ingredients, breakfast cereal, bread • Manufacture • (Consumer) spending patterns change • Factory • Exchange rates • (15% of raw) materials are imported • Maintaining quality Other appropriate examples can be credited. Some points can be awarded as [k] or [an] but only award the same point once e.g. waste, productivity, lower cost

Question	Answer	Marks	Guidance
2(e)	**Explain <u>two</u> methods of market research a business could use to help make business decisions. Which is likely to be the best method for a manufacturing business to use? Justify your answer.** Award up to 2 marks for identification of relevant points. Award up to 2 marks for relevant development of points. Award up to 2 marks for a justified decision as to which is the best method of market research for a manufacturing business to use to make business decisions. Points might include: • Government sources/statistics [k] provide information from a wide number of people [an] • Using internet/online sources [k] which is free / low cost / immediately available [an] • Information from trade associations/journals [k] as specifically about the industry [an] • Market research agency reports [k] can often be expensive/provide <u>detailed information</u> [an] • Questionnaire [k] as provides up-to-date information / specific to the business [an] • Interviews [k] to obtain <u>in depth</u> details/opinions [an] • Survey [k] can reach out to more/large number of people [an] • Focus group [k] as it provides <u>detailed information</u> / allows for follow-up questions [an] • Test marketing [k] so the cost of any problem is limited to a smaller number of products [an] • Observation [k] low cost [an] • Newspapers/magazines [k] Other appropriate responses should be credited.	**6**	This is a general question so there are no marks for application. Candidates must identify the method of market research to access the knowledge marks not just state primary/secondary. Analysis can refer to an advantage/disadvantage of method. Some development can be used for more point, but only award once.

Question 03:

Answer	Marks	Notes
Define 'import quota'. Award 2 marks for a full definition. Award 1 mark for a partial definition. Limit on the number of goods into a country [2] Partial definition e.g. limit on number of imports [1]	**2**	
Calculate PJA's gross profit margin. Show your working. Correct answer 45(%) [2] Correct method but incorrect answer [1] e.g. gross profit / revenue ×100 OR 3330 / 7400 *100	**2**	0.45 alone = 0

Answer	Marks	Notes
Outline <u>one</u> benefit and <u>one</u> limitation to PJA of developing new products. Award 1 mark for each relevant benefit/limitation. Award 1 mark for each relevant reference to this business. Points might include: Benefit: • Attract new customers / sales / growth [k] for its clothes [app] • Need to replace products in decline / keep up with changing customer tastes [k] of 16–25-year-olds [app] • Retain customers / to maintain market share [k] • Spread risk / attract new markets / have other products to rely on for sales [k] • Charge a higher price [k] • Improve reputation [k] • Can create a unique selling point [k] Limitations: • No guarantee customers will like the new product [k] as fashion changes [app] • Competitors might introduce rival products / reduce prices [k] as most of competitors are multinational companies [app] • High cost [k] • Production issues, e.g. is there sufficient capacity [k] within factory [app] • Having access to suitable materials [k] as trying to avoid import quotas [app] Other appropriate responses should also be credited.	**4**	Note: To use words from the stem as application, the reference must be appropriate (i.e. make sense) in relation to the point being made. The following words are likely to be appropriate for this question: • Correct use of data from table 2.1 • Clothes • Fashion • 16–25-year-olds / young customers • Local • Factory • Multinational companies • 3 weeks / 21 days. Other appropriate examples in context can still be credited.

Answer	Marks	Notes
Explain <u>two</u> ways PJA's managers can use ratio analysis. Award 1 mark for identification of each relevant way (max 2). Award 1 mark for each relevant reference made to this business (max 2). Award 1 mark for each relevant explanation (max 2). Points might include: • Able to see trends over time [k] for its clothing [app] to see where / whether performance has improved or not [an] • See trends between competitors [k] such as whether revenue is higher than $7400m [app] to assess how / whether they are as competitive as they think [an] • Able to measure financial performance / profitability / success [k] as if last year ROCE was lower than 8% [app] profitability has improved [an] • Help make investment/expansion decisions [k] such as developing new products [app] • Check / manage liquidity OR working capital [k] as if last year the current ratio was higher than 1.5 [app] then they know liquidity has got worse [an] Other appropriate responses should also be credited.	**6**	Note: To use words from the stem as application, the reference must be appropriate (i.e. make sense) in relation to the point being made. The following words are likely to be appropriate for this question: • Correct use of data from table 2.1 • Clothes • Fashion • 16-25-year-olds / young customers • Local or factory • Multinational companies • Develop new products. Other appropriate examples in context can be credited.

Answer	Marks	Notes
Do you think multinational companies always benefit the countries they operate in? Justify your answer. Award up to 2 marks for identification of relevant issues. Award up to 2 marks for relevant development of points. Award up to 2 marks for justified decision as to whether multinational companies always benefit the countries, they operate in. Points might include: • Creates jobs / provides income [k] so improving living standards [an] • Technical knowhow increased [k] which could help improve production methods / efficiency / output [an] • Orders for local suppliers [k] increasing local incomes / GDP [an] • Improve international reputation of country [k] • Increased investment / infrastructure development in country [k] • Companies pay taxes [k] which increases government income [an] • Competition for local businesses [k] leading to lower demand / lower prices [an] which could lead to the closure of local businesses [an] • Profits are often repatriated [k] limiting the countries growth [an] • Offer higher wages [k] reducing supply of workers for local business [an] • Use up limited resources [k] so there is less available for other local businesses [an] • Jobs created may be unskilled [k] Other appropriate responses should also be credited. Justification might include: Companies pay taxes [k] which increases government income [an]. However, reduced sales for local businesses [k] may lead to lower revenue [an]. A multinational always benefits a country to some extent, because of the money invested. [eval] The overall impact depends upon the effect on local businesses. [eval]	**6**	This is a general question so there are no marks for application. Analysis should focus on the impact on the country.

Question 04:

Answer	Marks	Notes
Define 'delegation'. Award 2 marks for a full definition. Award 1 mark for a partial definition. Give a subordinate **authority** to perform (particular) tasks [2] OR When a manager gives **authority** to another employee to complete a task, (although the manager retains the ultimate responsibility for the completion of the task) [2] Partial definition e.g. Let / allow workers make decisions [1] OR Give **authority** for a task to someone [1]	**2**	
State <u>two</u> levels in Maslow's Hierarchy of Needs. Award 1 mark per level. Two from: • Physiological / physical • Safety / security • Social / (love and) Belonging • Esteem • Self actualisation	**2**	Only award the first two responses given. Do not accept examples e.g. job security.

Answer	Marks	Notes
Identify <u>four</u> methods of internal communication a business can use. Award 1 mark per method. Four from: • Meetings / team briefings • (Video) conferencing / Zoom / Teams / FaceTime / Google Meet • Email / intranet • Telephone / mobile / cell phone • Text / SMS / WhatsApp / social media • Letters • Noticeboards / poster • Newsletter / company magazines • Report • Memorandum / memo Other appropriate responses should also be credited.	**4**	Only award the first four responses given. Do not award answers such as written, visual, electronic, oral as these are types and not methods of communication.

Answer	Marks	Notes
Explain <u>one</u> advantage and <u>one</u> disadvantage to STH of being ethical. Award 1 mark for identification of each relevant advantage/disadvantage (max 2). Award 1 mark for each relevant reference made to this business (max 2). Award 1 mark for each relevant explanation (max 2). Points might include: Advantages: • Good image / good reputation [k] so can charge high(er) prices / higher sales / develop customer loyalty [an] for its beds [app] • Higher demand / increase sales / enter new market / more customers [k] which could increase revenue [an] when selling in other countries [app] • Help recruit / loyalty of / motivate workers [k] as ethical can help achieve higher levels of Maslow's Hierarchy [app] leading to lower absenteeism / increased productivity [an] • Investors more likely to invest [k] making it easier to obtain finance for the new machinery [an] • Can help create better supplier relations (by paying fair price) [k] • Less opposition from pressure groups [k] Disadvantages: • Limited / fewer sources of materials [k] leading to less output [an] especially as the level of wasted materials has increased over the past 3 months [app] • May have to **pay more** to suppliers / higher cost of materials [k] leading to higher variable costs / cost of goods sold [an] • Workers may have to be paid more [k] increasing labour costs [an] • High costs [k] could lead to higher prices [an] • May take time to source ethical supplies [k] which could delay production [an] Other appropriate responses should also be credited.	**6**	Note: To use words from the stem as application, the reference must be appropriate (i.e. make sense) in relation to the point being made. The following words may be appropriate for this question: • Beds or related words such as wood • (Increased level of) wasted materials • Maslow's Hierarchy • Employees work in teams • Batches of 10 Other appropriate examples in context can still be credited. Do not award 'better quality', 'legal requirement / fines' or 'rights' as these are different concepts.

Answer	Marks	Notes
Do you think increasing training is a better way for a manufacturing business to improve efficiency than introducing automation? Justify your answer. Award up to 2 marks for identification of relevant issues. Award up to 2 marks for relevant development of points. Award up to 2 marks for justified decision as to whether increasing the amount of training is the best way for a manufacturing business to improve efficiency than introducing automation. Points might include: Training: • Increase employee skills / more specialist [k] so fewer mistakes are made / better quality products / less wastage [an] • High cost of training [k] increases fixed costs [an] • Can help motivate employees [k] leading to fewer workers leaving [an] • Takes time to train [k] during which time limited / no output is produced [an] Automation: • Fewer employees [k] reducing cost of labour [an] but may have to pay redundancy [an] • Higher output produced (in same amount of time) / can work 24/7 [k] lowering average / unit cost [an] • High (initial) cost of automation [k] which the business might not be able to afford [an] • (High) Cost of maintenance / repair / risk of breakdown [k] could increase expenses / reduce profit margin [an] • Machinery can become outdated (quickly) [k] and updating it can increase costs [an] Other appropriate responses should also be credited.	**6**	This is a general question so there are no marks for application. Do not award statements such as 'this will increase efficiency/productivity' as analysis as this is repetition.